

PART I

Item 1. Business.

Annandale Corporation, formerly Micropin Corporation (hereinafter referred to as "Annandale" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1980 the Company was engaged in the development of a pinball-like amusement device.

Actual production of the device commenced on a limited basis prior to March 31, 1980. The devices were placed in various restaurant cocktail lounges and bars in the Los Angeles area on a revenue-split basis. On April 10, 1981, management elected to suspend production of the Micropin game. It was subsequently decided to permanently terminate production of the Micropin game. During 1981 the Company began purchasing and operating video amusement games produced by other manufacturers.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting services. On March 28, 1983, a special meeting of shareholders was held to change the principal business of the Company to business and financial consulting services and to change the corporate name to Annandale Corporation. Both of these items were passed and have been put into effect. The services that the employees of the Company provide include the preparation of business and financial plans and the negotiation and finding of financing through the introduction of qualified financial sources with equity securities as the primary compensation for the Company.

The Company's business, that of providing consulting services, is highly competitive and there are large numbers of consulting companies in existence.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. The lease expires in 1988. In the opinion of management, the property is in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings.

No material legal proceedings to which the Company is a party or to which the property of the Company is subject are pending, and no such proceedings are known by the Company to be contemplated. No legal actions are contemplated nor judgments entered against any officer or director of the Company in connection with any matter involving the Company or its business.

Item 4. Submission of Matters To A Vote Of Security Holders.

Not applicable

Item 6. Selected Financial Data.

	Years Ended March 31				
	1985	1984	1983	1982	1981
Operating revenues	\$ 30,000	\$ 113,561	\$ 288,119	\$ 657,190	\$ 42,217
Interest and other income	442,421	635,400	335,566	355,357	145,681
Operating expenses	494,079	672,498	1,809,296	1,040,228	973,101
Income (loss) from continuing operations	(34,563)	54,663	(1,185,611)	(27,681)	(785,403)
Income (loss) per share from continuing operations	(.01)	.02	(.33)	(.01)	(.34)
Income (loss) from discontinued operations	-	-	(237,217)	85,941	-
Total assets	2,296,193	2,730,277	2,420,583	4,944,367	3,717,259

Item 7. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Liquidity and Capital Resources

During the current year, the Company has liquidated the marketable securities on the balance sheet at March 31, 1984 to use the proceeds for working capital. The remaining decrease in current assets resulted from the write off of a note receivable determined to be uncollectible during the year.

The Company currently has a strong balance sheet with no long or short-term debt (other than current obligations). Management anticipates no material decrease in the Company's liquidity position and there have been no material commitments for capital resources not previously reported.

Capital Needs

The Company has no major purchase commitments or other commitments other than for the lease of premises as shown in the financial statements. Management does not presently plan to borrow funds, or enter into any other arrangements to raise funds.

Results of Operations

Due to the steadily decreasing video game market, the Board of Directors elected to dispose of the Company's video game interests and concentrate full-time efforts on business and financial consulting during the year ended March 31, 1983. The loss from the disposal of video game assets was approximately \$93,000. As there was little or no current market for the Micropin game machine assets, it was decided in order to give the fairest representation of the Company's financial condition, to write off these assets which resulted in a loss of approximately \$815,000. In addition, the Company recorded as a charge to operating expenses an estimated litigation liability of \$100,000. These charges are the significant factors in the increase in operating expenses and loss from continuing operations during 1983.

Results of Operations, continued

On March 28, 1983, the shareholders voted to change the principal business of the corporation to business and financial consulting services. During 1984, revenues increased over 1983 primarily due to the gain on sale of marketable securities which were received for consulting services in a previous year. Operating expenses decreased in 1984 even after including a charge for an estimated litigation liability of \$250,000. Despite the charge for an estimated litigation liability, the Company reported a profit for the year of approximately \$69,000.

During the year ended March 31, 1985, revenues decreased approximately \$277,000 from the year ended March 31, 1984. A decrease in all areas of revenue accounted for this reduction. Operating expenses also decreased in 1985 over 1984 by approximately \$430,000. This was due primarily to the estimated litigation charge as mentioned above in 1984 and a general reduction in operating expenses in 1985. The current year included a separate charge of \$250,000 in 1985 for the write off of certain notes receivable determined to be uncollectible during the year. The current inflation rate has had no significant impact on the Company's operations.

Item 8. Financial Statements.

ANNANDALE CORPORATION
BALANCE SHEET
MARCH 31, 1985 AND 1984

LIABILITIES AND SHAREHOLDERS' EQUITY

	1985	1984
Current liabilities		
Accounts payable and accrued expenses	\$ 9,322	\$ 13,212
Accounts payable - officer (note 4)	14,075	114,075
Payroll taxes payable	-	1,510
Estimated litigation liability	-	250,000
Income tax payable	-	21,500
Total current liabilities	<u>23,397</u>	<u>400,297</u>
Commitments and contingencies (notes 7 and 10)		
Shareholders' equity		
Common stock, no-par value - 10,000,000 shares authorized; 3,533,920 issued at March 31, 1985 and 3,393,920 issued at March 31, 1984, including 36,000 shares held as treasury stock (note 5)	6,326,421	6,150,542
Accumulated deficit	<u>(3,855,125)</u>	<u>(3,820,562)</u>
	<u>2,471,296</u>	<u>2,329,980</u>
Net unrealized loss on non-current marketable equity securities (note 2)	<u>(198,500)</u>	<u>-</u>
Total Shareholders' Equity	<u>2,272,796</u>	<u>2,329,980</u>
	<u>\$ 2,296,193</u>	<u>\$ 2,730,277</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION
STATEMENT OF OPERATIONS
THREE YEARS ENDED MARCH 31, 1985

	1985	1984	1983
Revenues			
Consulting fees (note 2)	\$ 30,000	\$ 113,561	\$ 110,250
Interest, net	118,199	200,614	230,320
Gain on sale of marketable securities and investments	324,222	434,786	105,246
Sales, net	-	-	177,869
	<u>472,421</u>	<u>748,961</u>	<u>623,685</u>
Costs and expenses			
Cost of sales	-	-	176,585
Loss on equipment and materials held for resale	-	-	815,575
Provision for doubtful notes receivable	246,679	-	50,000
Selling, general and administrative expenses	247,400	672,498	767,136
	<u>494,079</u>	<u>672,498</u>	<u>1,809,296</u>
Income (loss) from continuing operations before provision for income taxes	(21,658)	76,463	(1,185,611)
Provision for income taxes (note 6)	12,905	21,800	200
Income (loss) from continuing operations	<u>(34,563)</u>	<u>54,663</u>	<u>(1,185,811)</u>
Discontinued operations (note 8)			
Loss before extraordinary item from operation of subsidiary	-	-	(104,953)
Loss on disposal of subsidiary	-	-	(132,264)
Loss from discontinued operations	<u>-</u>	<u>-</u>	<u>(237,217)</u>
Income (loss) before extraordinary item	(34,563)	54,663	(1,423,028)
Extraordinary item - tax benefit resulting from utilization of tax loss carryforward	-	14,500	-
Net Income (Loss)	<u>\$ (34,563)</u>	<u>\$ 69,163</u>	<u>\$ (1,423,028)</u>
Income (loss) per share based on weighted average number of shares outstanding (note 1)			
Continuing operations	\$ (.010)	\$.021	\$ (.334)
Discontinued operations	-	-	(.066)
Before extraordinary item	<u>\$ (.010)</u>	<u>\$.021</u>	<u>\$ (.400)</u>
Net Income (Loss)	<u>\$ (.010)</u>	<u>\$.021</u>	<u>\$ (.400)</u>
Weighted average number of shares outstanding	<u>3,456,112</u>	<u>3,357,920</u>	<u>3,546,520</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION

STATEMENT OF SHAREHOLDERS' EQUITY

THREE YEARS ENDED MARCH 31, 1985

	Common Stock (note 5)		Accumulated	Investment	
	Shares	Amount	Deficit	Valuation Allowance Account	Total
Balance, March 31, 1982	3,895,120	\$ 6,812,792	\$(2,466,697)	\$ -	\$ 4,346,095
Rescission of agreement to acquire subsidiary (note 8)	(500,000)	(656,250)	-	-	(656,250)
Retirement of shares issued at \$5 per share	(1,200)	(6,000)	-	-	(6,000)
Net loss - year ended March 31, 1983	-	-	(1,423,028)	-	(1,423,028)
Balance, March 31, 1983	3,393,920	6,150,542	(3,889,725)	-	2,260,817
Net income - year ended March 31, 1984	-	-	69,163	-	69,163
Balance, March 31, 1984	3,393,920	6,150,542	(3,820,562)	-	2,329,980
Shares issued for purchase of investments	25,000	25,000	-	-	25,000
Shares issued in settle- ment of litigation liability	115,000	150,879	-	-	150,879
Net unrealized loss on non-current marketable equity securities (note 2)	-	-	-	(198,500)	(198,500)
Net loss - year ended March 31, 1985	-	-	(34,563)	-	(34,563)
Balance, March 31, 1985	<u>3,533,920</u>	<u>\$6,326,421</u>	<u>\$(3,855,125)</u>	<u>\$(198,500)</u>	<u>\$ 2,272,796</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION
STATEMENT OF CHANGES IN FINANCIAL POSITION
THREE YEARS ENDED MARCH 31, 1985

	<u>1985</u>	<u>1984</u>	<u>1983</u>
Working capital was provided by:			
Common stock issued in settlement of of litigation liability	\$ 150,879	\$ -	\$ -
Common stock issued for purchase of investments	25,000	-	-
Sale of investments	1,099,334	400,000	-
Proceeds from disposal of fixed assets	-	-	124,607
Decrease in notes receivable	48,965	-	-
Decrease in other assets	-	1,100	-
Disposal of assets of discontinued subsidiary (note 8):			
Goodwill	-	-	364,889
Fixed assets	-	-	71,040
Deferred charges	-	-	61,638
Reduction of non-current notes receivable	-	-	705,469
Total working capital provided	<u>1,324,178</u>	<u>401,100</u>	<u>1,327,643</u>
(Decrease) Increase In Working Capital	<u>\$ (95,919)</u>	<u>\$ (864,815)</u>	<u>\$ 8,187</u>
Increase (decrease) in working capital consisted of the following:			
Cash and marketable securities	\$ (391,110)	\$ (723,826)	\$ (158,470)
Accounts receivable	78,588	15,709	(458,808)
Receivable from officers and shareholders	-	-	(7,200)
Interest receivable	26,058	67,808	(279)
Inventories	-	-	(505,273)
Prepaid expenses and other assets	(7,898)	1,625	(5,758)
Deferred tax benefit	(14,400)	14,400	-
Notes receivable	(166,496)	-	705,469
Accounts payable and accrued expenses	3,890	(3,446)	397,058
Estimated litigation liability	250,000	(150,000)	(100,000)
Notes payable	-	-	171,086
Equipment contracts payable	-	-	20,362
Payroll taxes payable	3,949	(1,510)	-
Accounts payable - officer	100,000	(64,075)	(50,000)
Income tax payable	21,500	(21,500)	-
(Decrease) Increase In Working Capital	<u>\$ (95,919)</u>	<u>\$ (864,815)</u>	<u>\$ 8,187</u>

The accompanying notes are an integral
part of these financial statements.

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

2. INVESTMENTS

Investments consist of common stock received or to be received primarily as compensation for consulting services and securities purchased for investment. Shares received for consulting services are valued at the lower of market at the date earned or market at the balance sheet date and purchased securities are carried at the lower of cost or market at the balance sheet date. Investments at March 31, 1985, had a market value of \$1,443,320 and cost basis of \$1,641,820 and at March 31, 1984, a market value of \$1,740,805 and cost basis of \$1,350,047.

There were gross unrealized gains of \$63,333 and gross unrealized losses of \$261,848 pertaining to the investments at March 31, 1985. To reduce the carrying amount of the investments to market, which was lower than cost at March 31, 1985, a valuation allowance of \$198,500 was established by a charge to shareholders' equity representing the net unrealized loss.

At March 31, 1985 and 1984, investments consisted of:

	<u>1985</u>	<u>1984</u>
Marketable securities	\$ 1,230,170	\$ 1,242,486
Non-marketable securities	<u>213,150</u>	<u>107,561</u>
	<u>\$ 1,443,320</u>	<u>\$ 1,350,047</u>

3. NOTES RECEIVABLE

Notes receivable consist of the following:

	<u>March 31, 1985</u>	<u>March 31, 1984</u>
Subordinated note receivable from Alphacom, Inc., due November 15, 1983 with interest at 15% payable quarterly commencing May 11, 1982 (see note 7).	\$ 538,973	\$ 538,973
Subordinated convertible note receivable from Financial News Broadcasting Company, parent company of Financial News Network, Inc., with principal and interest at 15%. The note, previously due on June 30, 1983, is due on demand. Any unpaid principal and interest may be converted to common stock at the rate of \$10 per share. The stock is not registered under the Securities Act of 1933. The note was written off as uncollectible at March 31, 1985.	-	166,496

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

3. NOTES RECEIVABLE, continued

	<u>1985</u>	<u>1984</u>
Subordinated convertible note receivable from Innovative Entertainment, Inc., due October 1, 1987, with interest at 12% payable monthly. Any unpaid principal and interest may be converted to common stock at any time prior to repayment. The stock is not registered under the Securities Act of 1933. The note was written off as uncollectible at March 31, 1985	\$ -	\$ 98,965
	538,973	804,434
	<u>(538,973)</u>	<u>(705,469)</u>
Less current portion	-	98,965
	-	<u>(50,000)</u>
Less allowance for doubtful notes receivable	-	-
	<u>\$ -</u>	<u>\$ 48,965</u>

4. ACCOUNTS PAYABLE - OFFICER

Under an agreement dated March 22, 1982, the Company was to receive 150,000 shares of common stock of Financial News Network, Inc. (a development stage company), as compensation for consulting services (see note 2). As a result of subsequent negotiations, it was agreed that the Company will receive 200,000 shares of common stock of Financial News Network, Inc., rather than 150,000 shares. The shares to be received were not registered under the Securities Act of 1933.

The Board of Directors granted a bonus of 25,000 shares of the above-mentioned additional 50,000 shares of stock to an officer of the Company. The bonus is payable when the Company receives the aforementioned 200,000 shares and complies with such legal requirements as may be necessary to effect their transfer. Accordingly, in 1982 a bonus of \$50,000 was accrued, based on the estimated fair market value of the stock at the date the bonus was granted.

In January 1984, the Company received and sold the aforementioned shares including the 25,000 shares granted as a bonus to the officer on his behalf. The amount due to officer represents the unpaid balance of the proceeds of the sale of his 25,000 shares.

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

5. SHAREHOLDERS' EQUITY

Promotional shares and treasury stock - Two officers/shareholders relinquished a total of 36,000 shares of common stock as a condition of the stock issued in 1976. These shares are currently held as treasury stock. In addition, the remaining 464,000 shares held by these same shareholders are subject to other restrictions imposed by the California Department of Corporations. Such restrictions include a waiver of the right to share in dividends and the right to participate in any distribution of assets in the event of liquidation. The California Corporation Commissioner may remove these restrictions when the Company has demonstrated a satisfactory earnings record.

Stock option plans - The Company has provided options to purchase shares of its common stock to certain officers, directors, key employees and consultants pursuant to its "1978 Stock Option Plan" and its "1981 Stock Option Plan". The maximum number of shares issuable under the two plans is limited to the lesser of 400,000 shares or 10% of the total number of shares of outstanding common stock. The terms of the two plans are substantially the same. Activity under the two plans for each of the three years in the period ended March 31, 1985, is summarized as follows:

	Shares Under Option		
	1985	1984	1983
Options outstanding, beginning of year	100,000	107,000	197,000
Options granted during the year	-	-	16,000
Options cancelled during the year	(25,000)	(7,000)	(106,000)
Options Outstanding, End of Year	<u>75,000</u>	<u>100,000</u>	<u>107,000</u>
Options Exercisable, End of Year	<u>53,375</u>	<u>49,125</u>	<u>41,125</u>

At March 31, 1985, 1984, and 1983, there were 274,792, 235,792, and 228,792 shares, respectively, available for future grants.

Options to purchase 20,000 shares issued during the fiscal year ended March 31, 1980, became 100% exercisable at the end of one year. All remaining options become exercisable at the rate of 25% a year beginning one year from the date of grant. All options expire five years from the date of grant. The option price on options granted to date ranges from \$1 to \$5 per share.

ANNANDALE CORPORATION
NOTES TO FINANCIAL STATEMENTS

5. SHAREHOLDERS' EQUITY, continued

Transactions with respect to options are recorded in the accounts only as the options are exercised.

Common stock purchase warrants - The Company has issued common stock purchase warrants for 150,000 shares of common stock at \$3.60 per share. The warrants are non-transferable and may not be exercised until one year after the date of issuance. The warrants are exercisable any time through October 1985. The total aggregate purchase price is \$540,000.

6. INCOME TAXES

The provision for income taxes consisted of state franchise taxes of \$200 for the year ended March 31, 1983. For the years ended March 31, 1985 and 1984 the provision consisted of:

<u>1985</u>	<u>Current</u>	<u>Deferred</u>	<u>Total</u>
Federal	\$ -	\$ -	\$ -
State	(1,495)	14,400	12,905
	<u>\$ (1,495)</u>	<u>\$ 14,400</u>	<u>\$ 12,905</u>
 <u>1984</u>	 <u>Current</u>	 <u>Deferred</u>	 <u>Total</u>
Federal	\$ 14,500	\$ -	\$ 14,500
State	21,700	(14,400)	7,300
	<u>\$ 36,200</u>	<u>\$ (14,400)</u>	<u>\$ 21,800</u>

At March 31, 1985, for Federal income tax purposes, the Company had net operating loss and investment tax credit carryforwards as follows:

<u>Expiration Date</u>	<u>Net Operating Losses</u>	<u>Investment Tax Credits</u>
1991	\$ 56,050	\$ 247
1992	284,399	-
1993	232,116	1,383
1994	710,888	2,837
1995	798,369	14,984
1996	-	6,755
1997	1,258,535	3,396
1998	-	763
1999	45,688	-
	<u>\$ 3,386,045</u>	<u>\$ 30,365</u>

ANNANDALE CORPORATION
NOTES TO FINANCIAL STATEMENTS

6. INCOME TAXES, continued

Net operating loss carryforwards available to reduce future taxable income are to be recognized for financial reporting purposes during the periods in which they are realized.

The effective rate of 28.5% in 1984 differs from the statutory Federal rate of 46% principally because of the effect of the surtax exemption.

7. NOTE RECEIVABLE FROM ALPHACOM, INC.

On May 14, 1981, the Company loaned Alphacom, Inc., an unrelated company ("Alphacom"), the sum of \$500,000 in cash in exchange for a 15% subordinated convertible note ("note"). On February 25, 1982, the note was renegotiated and a new note was issued. Under the terms of the new note, the Company received \$20,000 as partial payment for accrued interest through that date. The remaining accrued interest of \$38,973 was included in the principal of the new note. The new note has a principal balance of \$538,973 with interest at 15% per annum and was payable in full on November 15, 1983. The Company is currently negotiating repayment terms with Alphacom, Inc. Interest is payable quarterly beginning May 11, 1982 until the note is paid in full. The note is unsecured and is subordinated to indebtedness of all institutional creditors of Alphacom.

Alphacom was formed in December 1979, and has incurred substantial operating losses since its inception. In March 1983, Alphacom exchanged \$1,750,000 of long-term debt for preferred shares and issued additional shares for \$5,500,000 in cash. Alphacom incurred a significant loss for the year ended February 28, 1985. At March 31, 1985, Alphacom reported a working capital deficit of \$3,794,000, long-term debt of \$2,418,994 and a shareholders' deficit of \$5,680,111. Alphacom's ability to repay the note and related interest due on the note to Annandale is dependent upon its ability to obtain the additional capital and/or achieve profitable operations.

8. DISCONTINUED OPERATIONS

Effective January 1, 1982, Annandale Corporation agreed to purchase all of the outstanding stock of Mobile Amusement Engineering, Inc., dba Elcon Industries, Inc. ("Elcon"), a manufacturer of video amusement games. Under the terms of the acquisition agreement, the former shareholder of Elcon was to receive 500,000 shares of Annandale's common stock (aggregate market value \$656,250), 170,000 shares and warrants to purchase up to 250,000 shares contingently issuable upon the earnings of Elcon during the year ending March 31, 1983.

Elcon is a defendant in three lawsuits filed on April 22, 1982, May 12, 1982, and July 1, 1982, seeking unspecified damages. These lawsuits were filed by major manufacturers of video games and allege copyright infringement, patent infringement, trademark infringement and unfair competition.

ANNANDALE CORPORATION

NOTES TO FINANCIAL STATEMENTS

8. DISCONTINUED OPERATIONS, continued

Prior to August 1982, management believed that Elcon had adequate defenses against the lawsuits and that they would not result in any material liability to Elcon. During August 1982, management learned that Elcon's defenses against the lawsuits were significantly weaker than previously believed and that the liability arising from the suits could be material. The Company had no knowledge of the unasserted claims against Elcon at the date it agreed to purchase all of its outstanding stock. Accordingly, the Company rescinded the acquisition on August 18, 1982, and filed a complaint for rescission on August 25, 1982. The litigation was settled in July 1984, by the issuance of 115,000 shares of the Company's common stock. The Company is no longer affiliated with Elcon.

The rescission has been accounted for as a discontinued operation. Results of operations of Elcon have been included in the statement of operations through June 30, 1982. Subsequent financial information relating to Elcon is not available. The loss on disposal of Elcon of \$132,264, or \$.04 per share, includes all anticipated losses subsequent to June 30, 1982. Net sales of Elcon for 1983 was \$488,965. This amount is not included in net sales in the accompanying statement of operations.

9. INDUSTRY SEGMENT INFORMATION

See note 1 - Company History, for a description of the industries in which the Company operates. Identifiable assets are those assets which are used in the Company's operations in each industry segment. General corporate assets consist primarily of cash and marketable securities. During 1985 and 1984 the Company operated only in the consulting industry.

Industry segment information:

1983	Industry		General Corporate	Total
	Games	Consulting		
Revenues	\$ 177,869	\$ 229,746	\$ 215,070	\$ 623,685
Depreciation and amortization	\$ 49,950	\$ 10,000	\$ 6,661	\$ 66,611
Income (loss) from continuing operations	<u>\$ (1,321,122)</u>	<u>\$ 87,867</u>	<u>\$ 47,444</u>	<u>\$ (1,185,811)</u>
Capital expenditures	<u>\$ 26,030</u>	<u>\$ 22,545</u>	<u>\$ 1,985</u>	<u>\$ 50,560</u>
Identifiable assets at March 31, 1983	<u>\$ 50,465</u>	<u>\$ 1,177,249</u>	<u>\$ 1,192,869</u>	<u>\$ 2,420,583</u>

ANNANDALE CORPORATION
NOTES TO FINANCIAL STATEMENTS

10. COMMITMENTS

Annandale Corporation leases its office space. The lease expires in 1988. Rent expense was \$45,156, \$41,124 and \$46,480 for the years ended March 31, 1985, 1984 and 1983, respectively. Future minimum payments under all non-cancellable leases are as follows:

<u>Year Ended March 31,</u>	<u>Amount</u>
1986	\$ 45,200
1987	45,200
1988	45,200

PART III

Item 9. Disagreements on Accounting and Financial Disclosures: NONE

Item 10. Directors and Executive Officers of the Registrant

The following information as of March 31, 1985 is furnished with respect to each director and executive officer:

<u>Name of Director</u>	<u>Age</u>	<u>Year first elected as director</u>	<u>Position with Company</u>
R. Bruce Stewart	48	1974	President, Treasurer and Director
William F. Rinehart	60	1981	Secretary and Director
Thomas R. Spiel	50	1974	Director

FAMILY RELATIONSHIPS

There are no family relationships among the directors and officers listed, and there are no arrangements or understandings pursuant to which any of them were elected as directors or officers. All officers hold office for one year and until their successors are elected and qualified. Any officer is subject to removal with or without cause, at any time, by a vote of the majority of the Board of Directors.

BUSINESS EXPERIENCE

Mr. Stewart, age 48, was a business consultant to various individuals and companies, including several engaged in the manufacture and distribution of amusement equipment, from early 1972 until forming the Company with Mr. Heinrich, a retired director. From mid 1968 to early 1972, when his corporation was sold to Systems Engineering Laboratories, Inc., he was a co-founder and Vice President of Multidata, Inc., a designer and manufacturer of small scientific computers.

Mr. Rinehart, age 60, has been a practicing attorney in Los Angeles for over 28 years and is a partner in the firm of Macdonald, Halsted & Laybourne, counsel to the Company.

Mr. Spiel, age 50, was employed by the McDonald's Restaurants for the past 17 years and is currently owner/operator of 4 McDonald locations.

OTHER

There have been no events under any bankruptcy act, no criminal proceedings and no judgments or injunctions material to the evaluation of the ability and integrity of any director or executive officer during the past five years.

Item 11. Management Remuneration

Mr. Stewart devotes full time to the business and operations of the Company and received compensation, totaling approximately \$98,000. Mr. Currie resigned as a director in October 1984. As a partner in Macdonald, Halsted & Laybourne, counsel of the Company, Mr. Rinehart participates in fees paid or to be paid to that firm by the Company for legal services. For the year ended March 31, 1985, the Company paid \$12,436 to Macdonald, Halsted & Laybourne for legal services. During the fiscal year ended March 31, 1985, all officers and directors as a group received aggregate direct remuneration of approximately \$98,000.

The Company does not have a deferred compensation, profit sharing or retirement plan.

Item 12. Security Ownership of Certain Beneficial Owners and Management.

The following table lists the only persons known to the Company as of March 31, 1985 who own beneficially more than five percent of the Company's outstanding common stock, and ownership by officers and directors individually and as a group:

<u>Name or Group</u>	<u>No. of Shares</u>	<u>Percent</u>
R. Bruce Stewart	232,000	6.0%
Thomas R. Spiel	103,000	2.7%
William F. Rinehart	1,000	-
Officers and directors as a group	336,000	8.7%

Item 13. Certain Relationships and Related Transactions

Under an agreement dated March 22, 1982, the Company was to receive 150,000 shares of common stock of Financial News Network, Inc. (a development stage company), as compensation for consulting services (see note 2). As a result of subsequent negotiations, it was agreed that the Company will receive 200,000 shares of common stock of Financial News Network, Inc., rather than 150,000 shares. The shares to be received were not registered under the Securities Act of 1933.

The Board of Directors granted a bonus of 25,000 shares of the above-mentioned additional 50,000 shares of stock to an officer of the Company. The bonus is payable when the Company receives the aforementioned 200,000 shares and complies with such legal requirements as may be necessary to effect their transfer. Accordingly, in 1982 a bonus of \$50,000 was accrued, based on the estimated fair market value of the stock at the date the bonus was granted.

In January 1984, the Company received and sold the aforementioned shares including the 25,000 shares granted as a bonus to the officer on his behalf. The amount due to officer represents the unpaid balance of the proceeds of the sale of his 25,000 shares.